

Hon Hai Precision Industry

Buy: 2Q delivers a beat with solid margins; strong AI server outlook; lift PO to NT\$320

Reiterate Rating: BUY | PO: 320.00 TWD | Price: 270.00 TWD

2Q26 beat: larger scale and better margins driven by AI

Hon Hai (HH)'s 2Q OP (+11% QoQ, +104% YoY) was 33%/18% above BofAe/consensus, supported by larger sales scale (7%/5% above BofAe/consensus) and a favorable mix. Cloud and networking accounted for 51% of 2Q26 sales, vs. 48%/41% in 1Q26/2Q25. Thus, GM/OPM of 6.12%/3.75% came in above BofAe of 6.08%/3.03% and consensus of 6.05%/3.34%. 2Q26 OPM came in above HH's target of 3.20%+. With a small non-op. gain of NT\$63mn, NP (+33% QoQ, +42% YoY) was 13%/4% above BofAe/consensus.

Server business as a key bright spot at 2Q26 earnings call

Mgmt. guided 3Q26 sales will rise 4-15% QoQ (BofAe: +11% QoQ, +36% YoY), mainly led by cloud and networking business. Mgmt. is positive on the AI server outlook in 2026 and expects rapid sales growth from cloud and networking business. Mgmt. guided AI server rack shipments will grow high-double-digit% QoQ in 3Q26 and kept the full-year growth target of more-than-doubled YoY unchanged. Mgmt. expects the Nvidia GB300 product momentum to last till 2027 and Vera Rubin to start shipment from 4Q26. For ASIC (mainly under consignment business model), HH expects rising shipment and share from 2H26. Mgmt. targets 50%+ share in AI server market, vs. 40%+ now, and expects sales from general/CPU server to grow QoQ in 3Q/4Q26 with above industry levels.

Buy: accelerating sales/earnings led by AI; new PO NT\$320

We lift our 2026-28E EPS by 1-4%, mainly to reflect the latest guidance and higher sales driven by AI server. We raise our PO to NT\$320 (15x 4Q26-3Q27E EPS) from NT\$305 (15x 2H26-1H27E EPS), with the valuation base rollover but the multiple remains unchanged. We reiterate Buy on Hon Hai in view of solid sales/earnings growth, driven by robust AI server momentum, and the company's execution in sustaining OPM (despite the market's ongoing concerns about margin dilution from AI server rack business), thanks to rising sales scale and ongoing component value growth.

Estimates (Dec) (NT\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	152,705	189,354	256,602	304,563	358,129
EPS	11.01	13.61	18.44	21.88	25.73
EPS Change (YoY)	7.4%	23.6%	35.5%	18.7%	17.6%
Consensus EPS (Visible Alpha)			17.80	22.16	25.00
Dividend / Share	5.8	7.2	9.2	10.9	12.9
Free Cash Flow / Share	2.14	3.81	(23.21)	(0.567)	7.94
Valuation (Dec)					
P/E	24.53x	19.85x	14.64x	12.34x	10.49x
Dividend Yield	2.1%	2.7%	3.4%	4.1%	4.8%
EV / EBITDA*	16.33x	13.16x	10.64x	9.20x	7.68x
Free Cash Flow Yield*	0.8%	1.4%	-8.5%	-0.2%	2.9%

* For full definitions of *iQmethod*SM measures, see page 7.

This research report provides general information only. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or other persons without the express written consent of BofA Securities.

>> Employed by a non-US affiliate of BofAS and is not registered/qualified as a research analyst under the FINRA rules.

Refer to "Other Important Disclosures" for information on certain BofA Securities entities that take responsibility for the information herein in particular jurisdictions.

BofA Securities does and seeks to do business with issuers covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

Refer to important disclosures on page 8 to 10. Analyst Certification on page 5. Price

12 August 2026

Equity

Key Changes

(NT\$)	Previous	Current
Price Obj.	305.00	320.00
2026E EPS	17.8	18.4
2027E EPS	21.8	21.9
2028E EPS	25.4	25.7
2026E EBITDA (m)	403,504	436,981
2027E EBITDA (m)	493,815	505,373
2028E EBITDA (m)	592,527	605,453

Robert Cheng >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3731
robert.cheng@bofa.com

Doris Kao >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3722
doris.kao@bofa.com

Katherine Zhu >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 3374
kexin.zhu@bofa.com

Stock Data

Price	270.00 TWD
Price Objective	320.00 TWD
Date Established	12-Aug-2026
Investment Opinion	C-1-7
52-Week Range	187.50 TWD-314.00 TWD
Mrkt Val / Shares Out (mn)	117,315 USD / 14,028.6
Market Value (mn)	3,787,735 TWD
Average Daily Value (mn)	447.09 USD
Free Float	85.8%
BofA Ticker / Exchange	HNHAF / TAI
Bloomberg / Reuters	2317 TT / 2317.TW
ROE (2026E)	13.8%
Net Dbt to Eqty (Dec-2025A)	-7.8%

Acronyms, see Exhibit 7

iQprofileSM Hon Hai Precision Industry

Key Income Statement Data (Dec)

(NT\$ Millions)

	2024A	2025A	2026E	2027E	2028E
Sales	6,859,615	8,103,105	10,799,984	12,928,925	14,816,549
Gross Profit	428,946	498,161	655,290	770,436	877,929
Sell General & Admin Expense	(112,567)	(117,233)	(136,090)	(168,500)	(185,511)
Operating Profit	200,607	259,223	370,978	413,661	481,335
Net Interest & Other Income	11,268	34,222	8,171	18,876	22,556
Associates	NA	NA	NA	NA	NA
Pretax Income	211,875	293,445	379,149	432,537	503,891
Tax (expense) / Benefit	(40,196)	(78,410)	(92,427)	(103,974)	(121,762)
Net Income (Adjusted)	152,705	189,354	256,602	304,563	358,129
Average Fully Diluted Shares Outstanding	13,874	13,918	13,918	13,918	13,918

Key Cash Flow Statement Data

Net Income	152,705	189,354	256,602	304,563	358,129
Depreciation & Amortization	84,290	94,198	66,004	91,711	124,118
Change in Working Capital	(133,466)	(101,566)	(423,459)	(269,462)	(239,028)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	62,499	44,867	3,695	1,635	3,596
Cash Flow from Operations	166,029	226,852	(97,158)	128,448	246,815
Capital Expenditure	(136,339)	(173,763)	(225,892)	(136,339)	(136,339)
(Acquisition) / Disposal of Investments	(11,729)	(173)	0	0	0
Other Cash Inflow / (Outflow)	(151,977)	(130,753)	0	0	0
Cash Flow from Investing	(300,046)	(304,689)	(225,892)	(136,339)	(136,339)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(83,134)	(106,731)	(100,206)	(128,301)	(152,282)
Cash Flow from Financing	(164,072)	169,947	(100,206)	(128,301)	(152,282)
Free Cash Flow	29,690	53,089	(323,051)	(7,891)	110,476
Net Debt	(349,257)	(154,344)	268,913	405,105	446,911
Change in Net Debt	219,635	194,914	423,257	136,192	41,806

Key Balance Sheet Data

Property, Plant & Equipment	468,838	543,393	703,281	747,909	760,130
Other Non-Current Assets	549,897	599,452	592,451	579,719	563,272
Trade Receivables	1,141,418	1,181,307	1,574,470	1,884,837	2,160,023
Cash & Equivalents	937,108	1,016,440	593,183	456,991	415,185
Other Current Assets	1,297,239	1,764,080	2,163,384	2,488,590	2,781,888
Total Assets	4,394,500	5,104,672	5,626,769	6,158,046	6,680,499
Long-Term Debt	32,744	26,449	26,449	26,449	26,449
Other Non-Current Liabilities	335,350	396,612	396,612	396,612	396,612
Short-Term Debt	555,107	835,648	835,648	835,648	835,648
Other Current Liabilities	1,619,711	1,875,201	2,210,784	2,541,797	2,834,403
Total Liabilities	2,542,911	3,133,909	3,469,491	3,800,505	4,093,111
Total Equity	1,851,588	1,970,763	2,157,278	2,357,540	2,587,388
Total Equity & Liabilities	4,394,500	5,104,672	5,626,769	6,158,046	6,680,499

iQmethodSM - Bus Performance*

Return On Capital Employed	7.4%	7.1%	9.1%	9.6%	10.4%
Return On Equity	9.7%	11.1%	13.8%	14.8%	15.7%
Operating Margin	2.9%	3.2%	3.4%	3.2%	3.2%
EBITDA Margin	4.2%	4.4%	4.0%	3.9%	4.1%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	1.1x	1.2x	-0.4x	0.4x	0.7x
Asset Replacement Ratio	1.6x	1.8x	3.4x	1.5x	1.1x
Tax Rate (Reported)	19.0%	26.7%	24.4%	24.0%	24.2%
Net Debt-to-Equity Ratio	-18.9%	-7.8%	12.5%	17.2%	17.3%
Interest Cover	5.5x	6.8x	8.6x	9.5x	11.1x

Key Metrics

* For full definitions of iQmethodSM measures, see page 7.

Company Sector

Electronics Manufacturing Services

Company Description

Hon Hai is the world's largest EMS provider, with four key business segments - Smart Consumer Electronics, Cloud & Networking, Computing, and Components & Others. Hon Hai supplies components, final assembly, and global logistics for global tech giants, including Apple, Microsoft, Google, HP, Dell, Cisco, and Sony. Hon Hai has R&D/production sites globally, including Taiwan, China, India, Japan, Vietnam, Malaysia, Czech Republic, Mexico, and the US. The company was established in Taiwan in 1974.

Investment Rationale

We have a Buy rating on Hon Hai as its gradual moves into high margin/value-added server/components/semi business, stronger position in AI server with rising sales, solid balance sheet, and attractive valuation among Greater China AI server players.

Stock Data

Price to Book Value

1.9x



Exhibit 1: We lift 2026-28E EPS by 1-4%

Hon Hai's earnings revisions summary, 2026-28E

NT\$mnn	2026E			2027E			2028E		
	New	Old	Diff.	New	Old	Diff.	New	Old	Diff.
Sales	10,799,984	10,443,568	3%	12,928,925	12,551,249	3%	14,816,549	14,615,830	1%
Gross profit	655,290	637,223	3%	770,436	756,828	2%	877,929	871,029	1%
Operating profit	370,978	337,500	10%	413,661	402,103	3%	481,335	468,409	3%
Pretax profit	379,149	349,782	8%	432,537	421,183	3%	503,891	490,833	3%
Net income	256,602	247,233	4%	304,563	302,799	1%	358,129	353,363	1%
EPS (NT\$)	18.44	17.76	4%	21.88	21.76	1%	25.73	25.39	1%
Margin									
Gross margin	6.07%	6.10%		5.96%	6.03%		5.93%	5.96%	
Operating margin	3.43%	3.23%		3.20%	3.20%		3.25%	3.20%	
Pretax margin	3.51%	3.35%		3.35%	3.36%		3.40%	3.36%	
Net margin	2.38%	2.37%		2.36%	2.41%		2.42%	2.42%	

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: Our 2026E earnings are 2% above consensus but 2027-28E earnings are 1-2% below consensus

Hon Hai: BofAe vs. consensus, 2026-28E

NT\$mnn	2026E			2027E			2028E		
	BofAe	Consensus	Diff.	BofAe	Consensus	Diff.	BofAe	Consensus	Diff.
Sales	10,799,984	10,441,572	3%	12,928,925	13,168,707	-2%	14,816,549	16,110,344	-8%
Gross profit	655,290	630,671	4%	770,436	766,945	0%	877,929	903,307	-3%
Operating profit	370,978	358,355	4%	413,661	438,926	-6%	481,335	515,291	-7%
Pretax profit	379,149	368,714	3%	432,537	453,898	-5%	503,891	531,791	-5%
Net income	256,602	250,480	2%	304,563	310,020	-2%	358,129	361,744	-1%
EPS (NT\$)	18.44	18.00	2%	21.88	22.28	-2%	25.73	25.99	-1%
Margin									
Gross margin	6.07%	6.04%		5.96%	5.82%		5.93%	5.61%	
Operating margin	3.43%	3.43%		3.20%	3.33%		3.25%	3.20%	
Pretax margin	3.51%	3.53%		3.35%	3.45%		3.40%	3.30%	
Net margin	2.38%	2.40%		2.36%	2.35%		2.42%	2.25%	

Source: BofA Global Research estimates, company data, Bloomberg. Consensus based on data before 2Q26 results announcement

BofA GLOBAL RESEARCH

Exhibit 3: Hon Hai's 2Q26 preliminary operating profit was 33%/18% above BofAe/consensus and net profit was 13%/4% above BofAe/consensus

Hon Hai's 2Q26 preliminary results summary

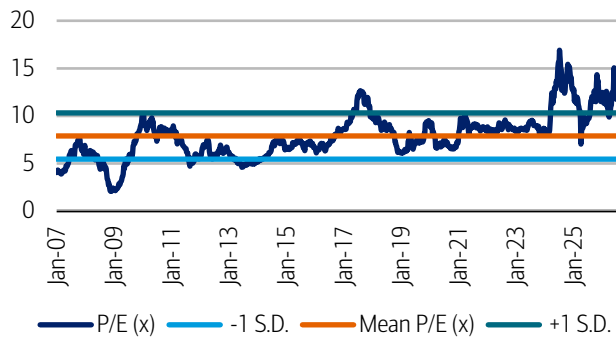
NT\$mnn	2Q26P	QoQ %	YoY %	BofAe	Diff. (%)	Consensus	Diff. (%)	4Q25	1Q25
Sales	2,525,894	-3%	54%	2,357,981	7%	2,410,547	5%	2,606,372	1,644,316
Gross profit	154,533	1%	54%	143,405	8%	145,718	6%	153,327	100,548
Operating profit	94,803	11%	104%	71,486	33%	80,534	18%	85,591	46,500
Pre-tax profit	94,866	15%	60%	76,107	25%	85,340	11%	82,282	59,120
Net profit	59,974	33%	42%	53,123	13%	57,399	4%	45,212	42,108
EPS (NT\$)	4.31	33%	42%	3.82	13%	4.14	4%	3.25	3.03
Margin									
Gross margin	6.12%			6.08%		6.05%		5.88%	6.11%
Operating margin	3.75%			3.03%		3.34%		3.28%	2.83%
Pretax margin	3.76%			3.23%		3.54%		3.16%	3.60%
Net margin	2.37%			2.25%		2.38%		1.73%	2.56%

Source: BofA Global Research estimates, company data, Bloomberg. Consensus based on data before 2Q26 results announcement. P: preliminary

BofA GLOBAL RESEARCH

Exhibit 4: Hon Hai's historical P/E trading average since 2007 is 7.9x

Hon Hai's historical P/E, -1/+1 standard deviation since 2007

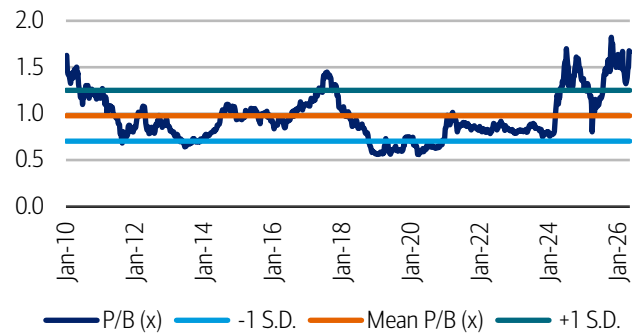


Source: BofA Global Research, TEJ, company data, Bloomberg.

BofA GLOBAL RESEARCH

Exhibit 5: Hon Hai's historical P/B trading average since 2010 is 1.0x

Hon Hai's historical P/B and -1/+1 standard deviation since 2010



Source: BofA Global Research, TEJ, company data, Bloomberg.

BofA GLOBAL RESEARCH

Exhibit 6: We model 2026-28E sales/net income CAGR at 17%/18%

Hon Hai's quarterly earnings summary, 2025-28E

NT\$mnn	1Q26	2Q26P	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Sales	2,119,533	2,525,894	2,799,954	3,354,603	2,894,503	2,995,694	3,339,886	3,698,842	8,103,105	10,799,984	12,928,925	14,816,549
Gross profit	130,981	154,533	169,076	200,700	172,537	179,265	199,556	219,078	498,161	655,290	770,436	877,929
Operating profit	75,649	94,803	92,077	108,449	93,806	94,786	107,709	117,360	259,223	370,978	413,661	481,335
Pretax profit	74,031	94,866	96,945	113,306	95,301	99,978	113,681	123,577	293,445	379,149	432,537	503,891
Net income	49,919	59,974	67,663	79,046	67,882	69,983	79,897	86,801	189,354	256,602	304,563	358,129
EPS (NT\$)	3.59	4.31	4.86	5.68	4.88	5.03	5.74	6.24	13.61	18.44	21.88	25.73
Margin %												
Gross margin	6.18%	6.12%	6.04%	5.98%	5.96%	5.98%	5.97%	5.92%	6.15%	6.07%	5.96%	5.93%
Operating margin	3.57%	3.75%	3.29%	3.23%	3.24%	3.16%	3.22%	3.17%	3.20%	3.43%	3.20%	3.25%
Pretax margin	3.49%	3.76%	3.46%	3.38%	3.29%	3.34%	3.40%	3.34%	3.62%	3.51%	3.35%	3.40%
Net margin	2.36%	2.37%	2.42%	2.36%	2.35%	2.34%	2.39%	2.35%	2.34%	2.38%	2.36%	2.42%
QoQ %												
Sales	-19%	19%	11%	20%	-14%	3%	11%	11%				
Gross profit	-15%	18%	9%	19%	-14%	4%	11%	10%				
Operating profit	-12%	25%	-3%	18%	-14%	1%	14%	9%				
Pretax profit	-10%	28%	2%	17%	-16%	5%	14%	9%				
Net income	10%	20%	13%	17%	-14%	3%	14%	9%				
YoY %												
Sales	29%	41%	36%	29%	37%	19%	19%	10%	18%	33%	20%	15%
Gross profit	30%	36%	29%	31%	32%	16%	18%	9%	16%	32%	18%	14%
Operating profit	63%	68%	31%	27%	24%	0%	17%	8%	29%	43%	12%	16%
Pretax profit	25%	46%	12%	38%	29%	5%	17%	9%	38%	29%	14%	16%
Net income	19%	35%	17%	75%	36%	17%	18%	10%	24%	36%	19%	18%

Source: BofA Global Research estimates, company data. P: preliminary

BofA GLOBAL RESEARCH

Exhibit 7: Acronyms

Expansions of acronyms used throughout the report

Acronym	Acronym	Acronym
AI	Artificial Intelligence	GM
ASIC	Application-Specific Integrated Circuit	Gross Margin
CAGR	Compound Annual Growth Rate	Mgmt.
CPU	Central Processing Unit	Management
Diff	Difference	GB
EMS	Electronics Manufacturing Services	Grace + Blackwell
EPS	Earnings per share	Non-op.
		Non-operating
		NP
		Net profit
		NT\$
		New Taiwan Dollar
		ODM
		Original Design Manufacturer
		OP
		Operating Profit
		OPM
		Operating Profit Margin
		P/B
		Price to Book Value Ratio
		P/E
		Price to Earnings Ratio
		PO
		Price Objective
		S.D.
		Standard Deviation
		PO
		Price Objective

Source: BofA Global Research

BofA GLOBAL RESEARCH



Price objective basis & risk

Hon Hai Precision Industry (HNHAF)

We set our PO at NT\$320 (15x 4Q26-3Q27E EPS), at around 3SD above historical P/E average since 2007. We think the valuation is justified as HH's leading position in EMS/ODM business, improving iPhone momentum with replacement cycle, rising sales from AI business, more diversified global footprint than peers to mitigate tariff/geopolitical risk, and improving balance sheet with higher cash dividend payout.

Downside risks to our PO are: (1) weaker momentum from Apple business (iPhone, iPad and Apple Watch), (2) increasing competition in EMS business from peers, (3) slower sales/earnings delivery in auto/EV business, and (4) weaker market demand or lower shipment from Nvidia AI server rack/system business.

Upside risks to our PO are: (1) better-than-expected yield rate and demand for iPhone, iPad and Apple Watch business, (2) further automation adoption to reduce labor costs and improve efficiency, (3) faster sales/earnings delivery from auto/EV business, and (4) stronger market demand or higher shipment from Nvidia AI server rack/system business.

Analyst Certification

I, Robert Cheng, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Special Disclosures

Information on securities which are listed on the exchanges where ML Securities (Taiwan) Limited is not permitted to trade or solicit trades for clients is for informational purposes only and is not a recommendation or a solicitation to trade such securities. ML Securities (Taiwan) Limited will not execute transactions for nor accept orders from clients to trade such securities. Foreign investment in Taiwan securities is regulated and restricted. Currently, foreign investment in Taiwan securities is permitted by investment through: (1) global depository receipts, (2) convertible bonds, (3) mutual funds issued offshore of Taiwan, and (4) a special foreign institutional investors (FINIs) and foreign individual investors (FIDIs) program supervised by the Taiwan SFB whereunder FINIs/FIDIs may apply for investment ID to invest in Taiwan securities by registration with Taiwan Stock Exchange. FINIs will additionally need consent from the foreign exchange authority, ie, the Central Bank of China. In addition to the limitations above, various industry-specific percentage-based limitations on foreign ownership of Taiwan companies (and in some cases prohibitions) may apply. Investments are subject to exchange rate and currency conversion restrictions and risks. Dividends and interest earned by foreign investors' Taiwan securities/instruments are generally subject to a 20% withholding tax. Ordinary shares are not available to ML private client accounts in the U.S.

This report is distributed in Taiwan by Merrill Lynch Securities (Taiwan) Limited, which is regulated by the Taiwan SFB.

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao



APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppamong Iemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	E Ink Holdings	PWWIF	8069 TT	Doris Kao
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppamong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLQGF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Robert Cheng
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPGB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu
NEUTRAL				
	Asustek	AKCPF	2357 TT	Robert Cheng
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	Lenovo Group	LNVGf	992 HK	Robert Cheng
	Lenovo Group	LNVGy	LNVGy US	Robert Cheng
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGf	300433 CH	Katherine Zhu

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Lianchuang Electronic	XWOFF	002036 CH	Katherine Zhu
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity
Operating Margin
Earnings Growth
Free Cash Flow

Quality of Earnings

Cash Realization Ratio
Asset Replacement Ratio
Tax Rate
Net Debt-To-Equity Ratio
Interest Cover

Valuation Toolkit

Price / Earnings Ratio
Price / Book Value
Dividend Yield
Free Cash Flow Yield
Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income
Operating Profit
Expected 5 Year CAGR From Latest Actual
Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations
Capex
Tax Charge
Net Debt = Total Debt – Cash & Equivalents
EBIT

Numerator

Current Share Price
Current Share Price
Annualised Declared Cash Dividend
Cash Flow From Operations – Total Capex
EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities
Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill
Amortization
Shareholders' Equity
Sales
N/A
N/A

Denominator

Net Income
Depreciation
Pre-Tax Income
Total Equity
Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)
Shareholders' Equity / Current Basic Shares
Current Share Price
Market Cap = Current Share Price × Current Basic Shares
Sales
Basic EBIT + Depreciation + Amortization

iQmethodSM is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

iQdatabase[®] is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

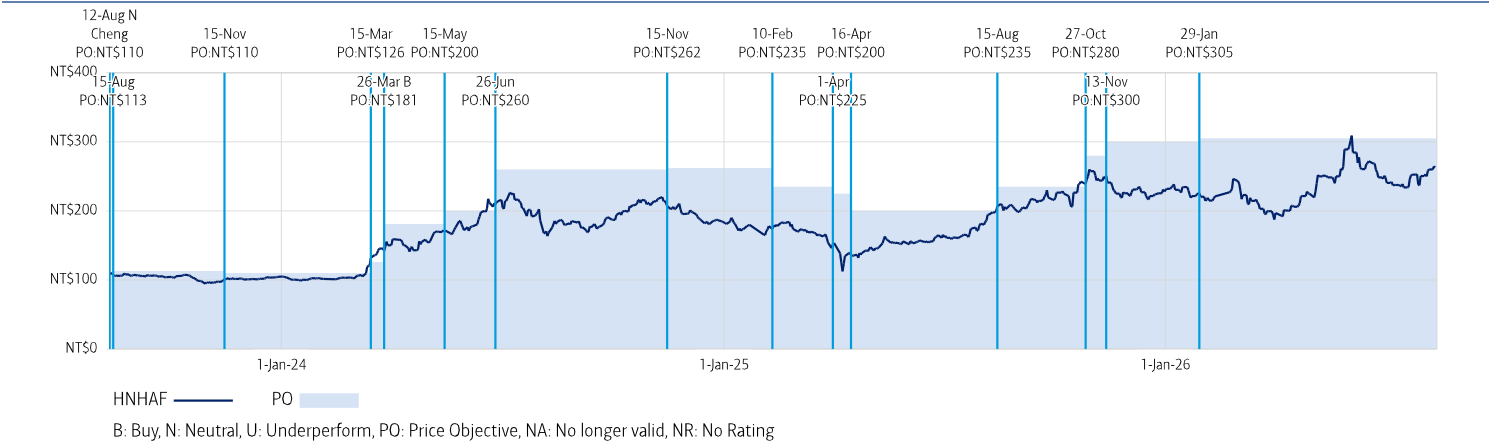
iQprofileSM, iQmethodSM are service marks of Bank of America Corporation. iQdatabase[®] is a registered service mark of Bank of America Corporation.



Disclosures

Important Disclosures

Hon Hai Prec. (HNHAF) Price Chart



The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Electronics Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	34	55.74%	Buy	16	47.06%
Hold	10	16.39%	Hold	3	30.00%
Sell	17	27.87%	Sell	6	35.29%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

FUNDAMENTAL EQUITY OPINION KEY: Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. VOLATILITY RISK RATINGS, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. INVESTMENT RATINGS reflect the analyst’s assessment of both a stock’s absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm’s guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst’s view of the potential price appreciation (depreciation).

Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

INCOME RATINGS, indicators of potential cash dividends, are: 7 - same/higher (dividend considered to be secure), 8 - same/lower (dividend not considered to be secure) and 9 - pays no cash dividend. Coverage Cluster is comprised of stocks covered by a single analyst or two or more analysts sharing a common industry, sector, region or other classification(s). A stock’s coverage cluster is included in the most recent BofA Global Research report referencing the stock.

Price Charts for the securities referenced in this research report are available on the [Price Charts website](#), or call 1-800-MERRILL to have them mailed.

The issuer is or was, within the last 12 months, an investment banking client of BofAS and/or one or more of its affiliates: Hon Hai Prec.

BofAS or an affiliate has received compensation from the issuer for non-investment banking services or products within the past 12 months: Hon Hai Prec.

The issuer is or was, within the last 12 months, a non-securities business client of BofAS and/or one or more of its affiliates: Hon Hai Prec.

In the US, retail sales and/or distribution of this report may be made only in states where these securities are exempt from registration or have been qualified for sale: Hon Hai Prec.

BofAS or an affiliate has received compensation for investment banking services from this issuer within the past 12 months: Hon Hai Prec.

BofAS or an affiliate expects to receive or intends to seek compensation for investment banking services from this issuer or an affiliate of the issuer within the next three months: Hon Hai Prec.

The country in which this issuer is organized has certain laws or regulations that limit or restrict ownership of the issuer’s shares by nationals of other countries: Hon Hai Prec.

The issuer is or was, within the last 12 months, a securities business client (non-investment banking) of BofAS and/or one or more of its affiliates: Hon Hai Prec.

BofA Global Research personnel (including the analyst(s) responsible for this report) receive compensation based upon, among other factors, the overall profitability of Bank of America



Corporation, including profits derived from investment banking. The analyst(s) responsible for this report may also receive compensation based upon, among other factors, the overall profitability of the Bank's sales and trading businesses relating to the class of securities or financial instruments for which such analyst is responsible.

Other Important Disclosures

From time to time research analysts conduct site visits of covered issuers. BoFA Global Research policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits.

Prices are indicative and for information purposes only. Except as otherwise stated in the report, for any recommendation in relation to an equity security, the price referenced is the publicly traded price of the security as of close of business on the day prior to the date of the report or, if the report is published during intraday trading, the price referenced is indicative of the traded price as of the date and time of the report and in relation to a debt security (including equity preferred and CDS), prices are indicative as of the date and time of the report and are from various sources including BoFA Securities trading desks.

The date and time of completion of the production of any recommendation in this report shall be the date and time of dissemination of this report as recorded in the report timestamp.

Recipients who are not institutional investors or market professionals should seek the advice of their independent financial advisor before considering information in this report in connection with any investment decision, or for a necessary explanation of its contents.

Officers of BoFA or one or more of its affiliates (other than research analysts) may have a financial interest in securities of the issuer(s) or in related investments.

Refer to [BoFA Global Research policies relating to conflicts of interest](#).

'BoFA Securities' includes BoFA Securities, Inc. ('BoFA') and its affiliates. Investors should contact their BoFA Securities representative or Merrill Global Wealth Management financial advisor if they have questions concerning this report or concerning the appropriateness of any investment idea described herein for such investor. 'BoFA Securities' is a global brand for BoFA Global Research.

Information relating to Non-US affiliates of BoFA Securities and Distribution of Affiliate Research Reports:

BoFA and/or Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S") may in the future distribute, information of the following non-US affiliates in the US (short name: legal name, regulator): Merrill Lynch (South Africa): Merrill Lynch South Africa (Pty) Ltd., regulated by the Financial Sector Conduct Authority; MLI (UK): Merrill Lynch International, regulated by the Financial Conduct Authority (FCA) and the Prudential Regulation Authority (PRA); BoFASE (France): BoFA Securities Europe SA is authorized by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers (AMF). BoFA Securities Europe SA ("BoFASE") with registered address at 51, rue La Boétie, 75008 Paris is registered under no 842 602 690 RCS Paris. In accordance with the provisions of French Code Monétaire et Financier (Monetary and Financial Code), BoFASE is an établissement de crédit et d'investissement (credit and investment institution) that is authorised and supervised by the European Central Bank and the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers. BoFASE's share capital can be found at www.bofaml.com/BoFASEdisclaimer; BoFA Europe (Milan): Bank of America Europe Designated Activity Company, Milan Branch, regulated by the Bank of Italy, the European Central Bank (ECB) and the Central Bank of Ireland (CBI); BoFA Europe (Frankfurt): Bank of America Europe Designated Activity Company, Frankfurt Branch regulated by BaFin, the ECB and the CBI; BoFA Europe (Zurich): Bank of America Europe Designated Activity Company, Zurich Branch, regulated by the Swiss Financial Market Supervisory Authority FINMA, the ECB and CBI; BoFA Europe (Madrid): Bank of America Europe Designated Activity Company, Sucursal en España, regulated by the Bank of Spain, the ECB and the CBI; Merrill Lynch (Australia): Merrill Lynch Equities (Australia) Limited, regulated by the Australian Securities and Investments Commission; Merrill Lynch (Hong Kong): Merrill Lynch (Asia Pacific) Limited, regulated by the Hong Kong Securities and Futures Commission (HKSF); Merrill Lynch (Singapore): Merrill Lynch (Singapore) Pte Ltd, regulated by the Monetary Authority of Singapore (MAS); Merrill Lynch (Canada): Merrill Lynch Canada Inc, regulated by the Canadian Investment Regulatory Organization; Merrill Lynch (Mexico): Merrill Lynch Mexico, SA de CV, Casa de Bolsa, regulated by the Comisión Nacional Bancaria y de Valores; BoFA Japan: BoFA Securities Japan Co., Ltd., regulated by the Financial Services Agency; Merrill Lynch (Seoul): Merrill Lynch International, LLC Seoul Branch, regulated by the Financial Supervisory Service; Merrill Lynch (Taiwan): Merrill Lynch Securities (Taiwan) Ltd., regulated by the Securities and Futures Bureau; BoFA India: BoFA Securities India Limited, regulated by the Securities and Exchange Board of India (SEBI); Merrill Lynch (Israel): Merrill Lynch Israel Limited, regulated by Israel Securities Authority; Merrill Lynch (DIFC): Merrill Lynch International (DIFC Branch), regulated by the Dubai Financial Services Authority (DFSA); Merrill Lynch (Brazil): Merrill Lynch S.A. Corretora de Títulos e Valores Mobiliários, regulated by Comissão de Valores Mobiliários; Merrill Lynch KSA Company: Merrill Lynch Kingdom of Saudi Arabia Company, regulated by the Capital Market Authority. This information: has been approved for publication and is distributed in the United Kingdom (UK) to professional clients and eligible counterparties (as each is defined in the rules of the FCA and the PRA) by MLI (UK), which is authorized by the PRA and regulated by the FCA and the PRA - details about the extent of our regulation by the FCA and PRA are available from us on request; has been approved for publication and is distributed in the European Economic Area (EEA) by BoFASE (France), which is authorized by the ACPR and regulated by the ACPR and the AMF; has been considered and distributed in Japan by BoFA Japan, a registered securities dealer under the Financial Instruments and Exchange Act in Japan, or its permitted affiliates; is issued and distributed in Hong Kong by Merrill Lynch (Hong Kong) which is regulated by HKSF; is issued and distributed in Taiwan by Merrill Lynch (Taiwan); is issued and distributed in India by BoFA India; and is issued and distributed in Singapore to institutional investors and/or accredited investors (each as defined under the Financial Advisers Regulations) by Merrill Lynch (Singapore) (Company Registration No 198602883D). Merrill Lynch (Singapore) is regulated by MAS. Merrill Lynch Equities (Australia) Limited (ABN 65 006 276 795), AFS License 235132 (MLEA) distributes this information in Australia only to 'Wholesale' clients as defined by s.761G of the Corporations Act 2001. With the exception of Bank of America N.A., Australia Branch, neither MLEA nor any of its affiliates involved in preparing this information is an Authorised Deposit-Taking Institution under the Banking Act 1959 nor regulated by the Australian Prudential Regulation Authority. No approval is required for publication or distribution of this information in Brazil and its local distribution is by Merrill Lynch (Brazil) in accordance with applicable regulations. Merrill Lynch (DIFC) is authorized and regulated by the DFSA. Information prepared and issued by Merrill Lynch (DIFC) is done so in accordance with the requirements of the DFSA conduct of business rules. BoFA Europe (Frankfurt) distributes this information in Germany and is regulated by BaFin, the ECB and the CBI. BoFA Securities entities, including BoFA Europe and BoFASE (France), may outsource/delegate the marketing and/or provision of certain research services or aspects of research services to other branches or members of the BoFA Securities group. You may be contacted by a different BoFA Securities entity acting for and on behalf of your service provider where permitted by applicable law. This does not change your service provider. Please refer to the [Electronic Communications Disclaimers](#) for further information.

This information has been prepared and issued by BoFA and/or one or more of its non-US affiliates. The author(s) of this information may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so. BoFA and/or MLPF&S is the distributor of this information in the US and accepts full responsibility for information distributed to BoFA and/or MLPF&S clients in the US by its non-US affiliates. Any US person receiving this information and wishing to effect any transaction in any security discussed herein should do so through BoFA and/or MLPF&S and not such foreign affiliates. Hong Kong recipients of this information should contact Merrill Lynch (Asia Pacific) Limited in respect of any matters relating to dealing in securities or provision of specific advice on securities or any other matters arising from, or in connection with, this information. Singapore recipients of this information should contact Merrill Lynch (Singapore) Pte Ltd in respect of any matters arising from, or in connection with, this information. For clients that are not accredited investors, expert investors or institutional investors Merrill Lynch (Singapore) Pte Ltd accepts full responsibility for the contents of this information distributed to such clients in Singapore.

General Investment Related Disclosures:

Taiwan Readers: Neither the information nor any opinion expressed herein constitutes an offer or a solicitation of an offer to transact in any securities or other financial instrument. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or any other person without the express written consent of BoFA Securities.

This document provides general information only, and has been prepared for, and is intended for general distribution to, BoFA Securities clients. Neither the information nor any opinion expressed constitutes an offer or an invitation to make an offer, to buy or sell any securities or other financial instrument or any derivative related to such securities or instruments (e.g., options, futures, warrants, and contracts for differences). This document is not intended to provide personal investment advice and it does not take into account the specific investment objectives, financial situation and the particular needs of, and is not directed to, any specific person(s). This document and its content do not constitute, and should not be considered to constitute, investment advice for purposes of ERISA, the US tax code, the Investment Advisers Act or otherwise. Investors should seek financial advice regarding the appropriateness of investing in financial instruments and implementing investment strategies discussed or recommended in this document and should understand that statements regarding future prospects may not be realized. Any decision to purchase or subscribe for securities in any offering must be based solely on existing public information on such security or the information in the prospectus or other offering document issued in connection with such offering, and not on this document.

Securities and other financial instruments referred to herein, or recommended, offered or sold by BoFA Securities, are not insured by the Federal Deposit Insurance Corporation and are not deposits or other obligations of any insured depository institution (including, Bank of America, N.A.). Investments in general and, derivatives, in particular, involve numerous risks, including, among others, market risk, counterparty default risk and liquidity risk. No security, financial instrument or derivative is suitable for all investors. Digital assets are extremely speculative, volatile

and are largely unregulated. In some cases, securities and other financial instruments may be difficult to value or sell and reliable information about the value or risks related to the security or financial instrument may be difficult to obtain. Investors should note that income from such securities and other financial instruments, if any, may fluctuate and that price or value of such securities and instruments may rise or fall and, in some cases, investors may lose their entire principal investment. Past performance is not necessarily a guide to future performance. Levels and basis for taxation may change.

This report may contain a short-term trading idea or recommendation, which highlights a specific near-term catalyst or event impacting the issuer or the market that is anticipated to have a short-term price impact on the equity securities of the issuer. Short-term trading ideas and recommendations are different from and do not affect a stock's fundamental equity rating, which reflects both a longer term total return expectation and attractiveness for investment relative to other stocks within its Coverage Cluster. Short-term trading ideas and recommendations may be more or less positive than a stock's fundamental equity rating.

BofA Securities is aware that the implementation of the ideas expressed in this report may depend upon an investor's ability to "short" securities or other financial instruments and that such action may be limited by regulations prohibiting or restricting "shortselling" in many jurisdictions. Investors are urged to seek advice regarding the applicability of such regulations prior to executing any short idea contained in this report.

Foreign currency rates of exchange may adversely affect the value, price or income of any security or financial instrument mentioned herein. Investors in such securities and instruments, including ADRs, effectively assume currency risk.

BofAS or one of its affiliates is a regular issuer of traded financial instruments linked to securities that may have been recommended in this report. BofAS or one of its affiliates may, at any time, hold a trading position (long or short) in the securities and financial instruments discussed in this report.

BofA Securities, through business units other than BofA Global Research, may have issued and may in the future issue trading ideas or recommendations that are inconsistent with, and reach different conclusions from, the information presented herein. Such ideas or recommendations may reflect different time frames, assumptions, views and analytical methods of the persons who prepared them, and BofA Securities is under no obligation to ensure that such other trading ideas or recommendations are brought to the attention of any recipient of this information.

In the event that the recipient received this information pursuant to a contract between the recipient and BofAS for the provision of research services for a separate fee, and in connection therewith BofAS may be deemed to be acting as an investment adviser, such status relates, if at all, solely to the person with whom BofAS has contracted directly and does not extend beyond the delivery of this report (unless otherwise agreed specifically in writing by BofAS). If such recipient uses the services of BofAS in connection with the sale or purchase of a security referred to herein, BofAS may act as principal for its own account or as agent for another person. BofAS is and continues to act solely as a broker-dealer in connection with the execution of any transactions, including transactions in any securities referred to herein.

Copyright and General Information:

Copyright 2026 Bank of America Corporation. All rights reserved. iQDatabase® is a registered service mark of Bank of America Corporation. This information is prepared for the use of BofA Securities clients and may not be redistributed, retransmitted or disclosed, in whole or in part, or in any form or manner, without the express written consent of BofA Securities. This document and its content is provided solely for informational purposes and cannot be used for training or developing artificial intelligence (AI) models or as an input in any AI application (collectively, an AI tool). Any attempt to utilize this document or any of its content in connection with an AI tool without explicit written permission from BofA Global Research is strictly prohibited. BofA Global Research utilizes AI, including machine learning and other technologies, to enhance the services we provide to our clients. These technologies assist our analysts in various aspects of their work, including but not limited to data analysis, content extraction, content creation, data aggregation and summarization and identifying relevant information from diverse sources. All AI-driven processes are subject to review by BofA Global Research employees. BofA Global Research information is distributed simultaneously to internal and client websites and other portals by BofA Securities and is not publicly-available material. Any unauthorized use or disclosure is prohibited. Receipt and review of this information constitutes your agreement not to redistribute, retransmit, or disclose to others the contents, opinions, conclusion, or information contained herein (including any investment recommendations, estimates or price targets) without first obtaining express permission from an authorized officer of BofA Securities.

Materials prepared by BofA Global Research personnel are based on public information. Facts and views presented in this material have not been reviewed by, and may not reflect information known to, professionals in other business areas of BofA Securities, including investment banking personnel. BofA Securities has established information barriers between BofA Global Research and certain business groups. As a result, BofA Securities does not disclose certain client relationships with, or compensation received from, such issuers. To the extent this material discusses any legal proceeding or issues, it has not been prepared as nor is it intended to express any legal conclusion, opinion or advice. Investors should consult their own legal advisers as to issues of law relating to the subject matter of this material. BofA Global Research personnel's knowledge of legal proceedings in which any BofA Securities entity and/or its directors, officers and employees may be plaintiffs, defendants, co-defendants or co-plaintiffs with or involving issuers mentioned in this material is based on public information. Facts and views presented in this material that relate to any such proceedings have not been reviewed by, discussed with, and may not reflect information known to, professionals in other business areas of BofA Securities in connection with the legal proceedings or matters relevant to such proceedings.

This information has been prepared independently of any issuer of securities mentioned herein and not in connection with any proposed offering of securities or as agent of any issuer of any securities. None of BofAS or any of its affiliates or their research analysts has any authority whatsoever to make any representation or warranty on behalf of the issuer(s). BofA Global Research policy prohibits research personnel from disclosing a recommendation, investment rating, or investment thesis for review by an issuer prior to the publication of a research report containing such rating, recommendation or investment thesis.

Any information relating to sustainability in this material is limited as discussed herein and is not intended to provide a comprehensive view on any sustainability claim with respect to any issuer or security.

Any information relating to the tax status of financial instruments discussed herein is not intended to provide tax advice or to be used by anyone to provide tax advice. Investors are urged to seek tax advice based on their particular circumstances from an independent tax professional.

The information herein (other than disclosure information relating to BofA Securities and its affiliates) was obtained from various sources and we do not guarantee its accuracy. This information may contain links to third-party websites. BofA Securities is not responsible for the content of any third-party website or any linked content contained in a third-party website. Content contained on such third-party websites is not part of this information and is not incorporated by reference. The inclusion of a link does not imply any endorsement by or any affiliation with BofA Securities. Access to any third-party website is at your own risk, and you should always review the terms and privacy policies at third-party websites before submitting any personal information to them. BofA Securities is not responsible for such terms and privacy policies and expressly disclaims any liability for them.

All opinions, projections and estimates constitute the judgment of the author as of the date of publication and are subject to change without notice. Prices also are subject to change without notice. BofA Securities is under no obligation to update this information and BofA Securities ability to publish information on the subject issuer(s) in the future is subject to applicable quiet periods. You should therefore assume that BofA Securities will not update any fact, circumstance or opinion contained herein.

Subject to the quiet period applicable under laws of the various jurisdictions in which we distribute research reports and other legal and BofA Securities policy-related restrictions on the publication of research reports, fundamental equity reports are produced on a regular basis as necessary to keep the investment recommendation current.

Certain outstanding reports or investment opinions relating to securities, financial instruments and/or issuers may no longer be current. Always refer to the most recent research report relating to an issuer prior to making an investment decision.

In some cases, an issuer may be classified as Restricted or may be Under Review or Extended Review. In each case, investors should consider any investment opinion relating to such issuer (or its security and/or financial instruments) to be suspended or withdrawn and should not rely on the analyses and investment opinion(s) pertaining to such issuer (or its securities and/or financial instruments) nor should the analyses or opinion(s) be considered a solicitation of any kind. Sales persons and financial advisors affiliated with BofAS or any of its affiliates may not solicit purchases of securities or financial instruments that are Restricted or Under Review and may only solicit securities under Extended Review in accordance with firm policies.

Neither BofA Securities nor any officer or employee of BofA Securities accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this information.

